on 08-May-2026

BERNSTEIN
SOCIETE GENERALE GROUP

8 May 2026

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U.S. SMID-Cap Software

Cloudflare Inc

Rating

Market-Perform

Price Target

NET **136.00 USD** (146.00 *OLD*)

Cloudflare (NET) Q1'26: growth steady; large ~20% RIF!

Cloudflare's Q1'26 earnings fell flat, as earnings "just" delivered a roughly consistent YoY growth rate (33.5%) relative to Q4 (33.6%), and NRR fell to 118% (from 120% in Q4). While this was a "normal" beat vs. guide, there was some hope for acceleration after strength in other Cloud Native consumption infrastructure seen in AWS or Datadog. Add to that their FY guide was "just" raised by the beat (vs. Q2-3 last year raised nearly 2x the beat). With that said, we point out Q1'24 and Q1'25 saw no raise at all, so this could be considered "good" vs. the last two years. Management reemphasized that Q1 sequentially is smaller and smaller (and Q4 larger) given their flex deals are very seasonal and make up more revenue now.

Big news: ~20% headcount reduction, refocus on key talent. Perhaps the even bigger news was the company would reduce headcount by ~1,100 heads. This is a strategic action directly applying AI. It includes targeting support/back office roles, marketing functions they can perform more efficiently, and any extraneous product areas not focused forward. This frees resources for the company to hire aggressively in growth facing R&D and commercial teams. They reported 2027 headcount would be above 2026, and that they are keeping their critical "1.1.1.1" internship program focused on bringing in the next generation of young talent most well versed in using AI to drive results.

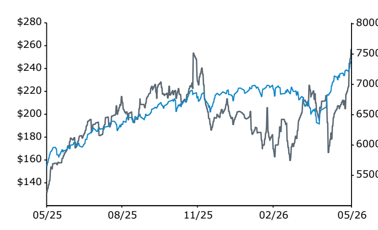
Overall we continue to believe they will surf the wave of AI-driven workloads strength. We model this Cloud Native infrastructure growth for AWS and then use it as a bellweather for other businesses like Cloudflare, too. This tailwind we assume for now peaks in H1'26 and then reverts to "normal" later this year and forward. We believe there is potential upside, if the rate of AI investment remains more elevated — we will continue to monitor our channel checks and alt data to evaluate whether upside is warranted.

Close Date	7 May 2026
NET Close Price (USD)	256.79
Price Target (USD)	136.00
Upside/(Downside)	(47)%
52-Week Range	260.00/120.55
SPX	7,337.11
FYE	Dec
Div Yield	NA
Market Cap (USD) (M)	90,427
EV (USD) (M)	89,844

Performance	YTD	1M	6M	12M
Absolute (%)	30.3	18.7	10.3	111.0
SPX (%)	7.2	10.9	9.0	30.3
Relative (%)	23.1	7.8	1.3	80.7

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



Investment Implications

We adjusted down this year's revenue by roughly -$125MM given lighter Q1 than expected. Using a 50/50 weighted DCF (10% WACC, 3% terminal growth) and unchanged 16x Price/NTM sales, we lower our PT to $136 and maintain our MP rating.

Adjusted EPS	F25A	F26E	F27E
NET (USD)	0.92	**1.33**	**1.73**
OLD	--	1.36	1.86

Financials	F25A	F26E	F27E	CAGR
Revenues (M)	2,168	2,848	3,608	29.0%
FCF (M)	260.56	377.66	586.87	50.1%
Cost of Goods Sold (M)	524.75	781.68	992.99	37.6%
Operating Earnings (M)	303.85	458.41	652.60	46.6%

Valuation Metrics	F25A	F26E	F27E
Adjusted P/E (x)	277.7	193.7	148.4
EV/FCF (x)	344.8	237.9	153.1
EV/Sales (x)	41.4	31.5	24.9
PEG Reported (x)	(153.8)	224.5	107.0
Reported P/E (x)	N/M	N/M	N/M
EV/EBITDA (x)	N/M	328.4	215.6

Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our Global Research Disclosure Website.

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DETAILS

NOTES FROM CALLBACK WITH CEO

Headcount cuts are driven by productivity and velocity rather than pure cost savings, with only ~40-50% flowing to the bottom line. The remainder of the savings will be reinvested back into the business, and not all affected employees will exit immediately. Importantly, leadership emphasized that the primary motivation for the RIF was improving execution speed and productivity, not short-term cost cutting. The reductions span nearly every function, including product development, finance, legal, sales, and marketing, with a significant shift in support ratios as productivity-enhancing tools become more powerful. Hierarchies are being flattened materially as agents increasingly perform work across functions. In contrast to the pre-AI era of monolithic systems and rigid ERP organizations, much of the work can now be automated using agents.

The headcount reset is intended to support growth acceleration, resulting in higher S&M investment. As a result of the workforce reduction, management expects sales and marketing expense to rise, framing this phase as a sprint for growth. Hiring freezes are viewed as counterproductive in that context, so the company prefers to cut selectively and reinvest where growth can be accelerated. Internship programs will be maintained, as this pipeline aligns closely with the talent profile they want to hire longer term.

QoQ NRR pressure is driven largely by timing and seasonality rather than structural demand weakness, with large bookings often creating headwinds in subsequent quarters. In addition, Q4 is becoming increasingly backend weighted for the business, which mechanically makes Q1 sequentially smaller. Management expects this dynamic to ease over time as consumption scales.

YoY RPO appears weak due to an unusually difficult comparison rather than fundamental slowdown. This was impacted by tough comps following a very large deal last year, including the company's first contract exceeding $100M. Normalizing for that outlier, the company believes the underlying RPO performance looks solid.

Gross margin volatility reflects product mix and free to paid conversion dynamics rather than worsening unit economics. Most of the Q1 gross margin deterioration stemmed from customers transitioning from free to paid offerings, and with continued onboarding of new free customers, full-year gross margin remains difficult to forecast precisely. Different offerings carry different gross margins and cost-to-book profiles, but products with lower gross margins typically also have lower booking costs. As a result, unit economics are broadly similar across all Acts.

Two additional details: leadership cited Vercel as a competitor experiencing broadly similar trends. On Workers AI, management highlighted a strong pipeline and emphasized that agents represent more than inference, with ambition to position the company as a developer platform for agents.

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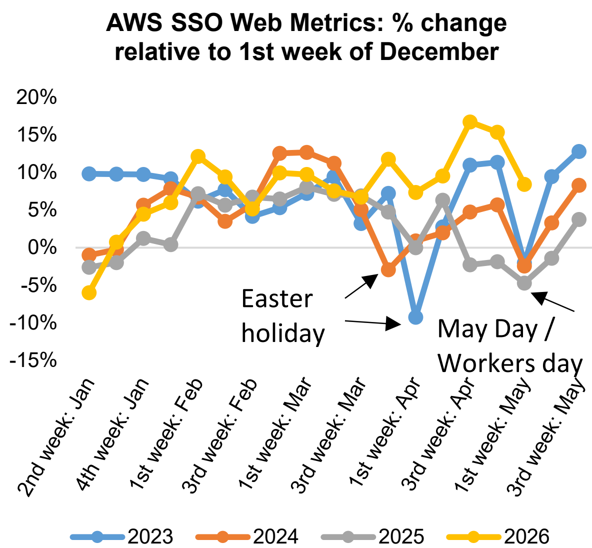
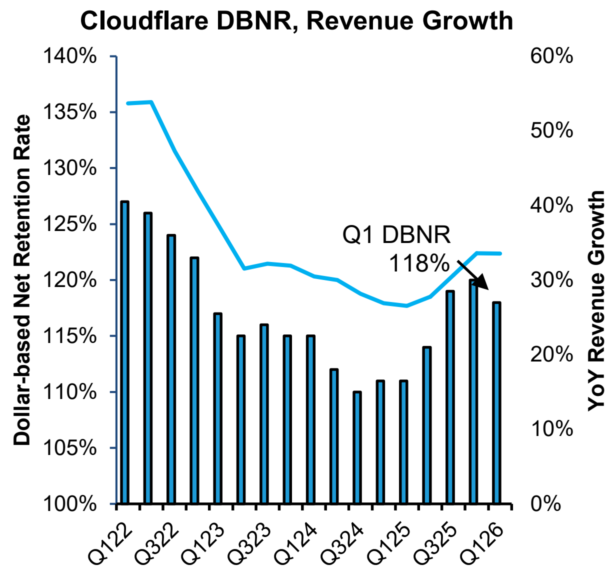
EXHIBIT 1: **AWS web metrics are a signal we use to estimate AWS growth, and AWS growth has been a correlated bellwether to Cloudflare's growth, so the strong initial performance into 2026 is an optimistic signal for at least H1 results.**



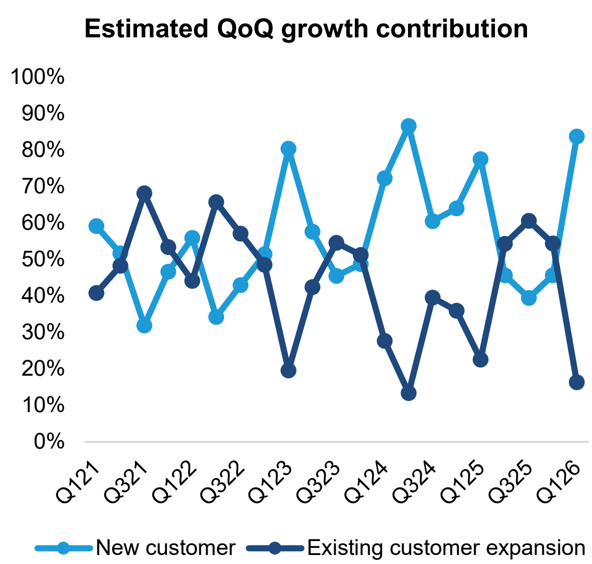
Source: Similarweb, Bernstein analysis

EXHIBIT 2: **Dollar-based net retention rate dropped to 118%, its highest in over a year, and we anticipate it to accelerate, helping drive the business to more growth in FY26.**



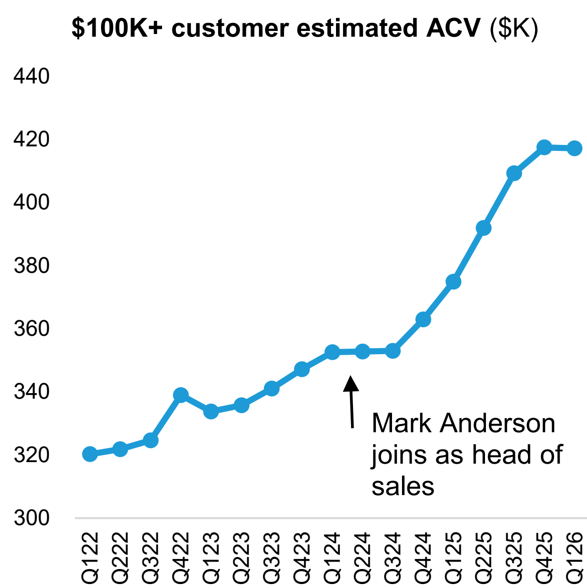
Source: Company reports, Bernstein analysis

EXHIBIT 3: **Existing customer expansion maintained strong QoQ growth contribution as NRR ticked down to 118%**



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 4: **Mark Anderson joined to lead the new enterprise sales efforts in Q1'24, since then his efforts paved way for a strong up-tick in existing customer expansion.**



Source: Company reports, Bernstein analysis

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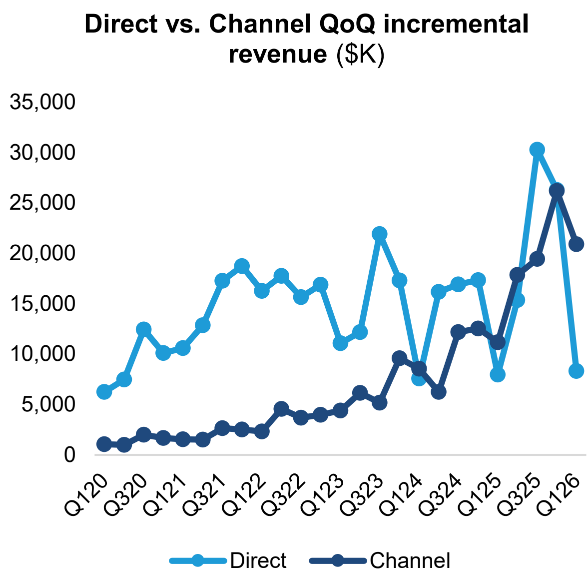
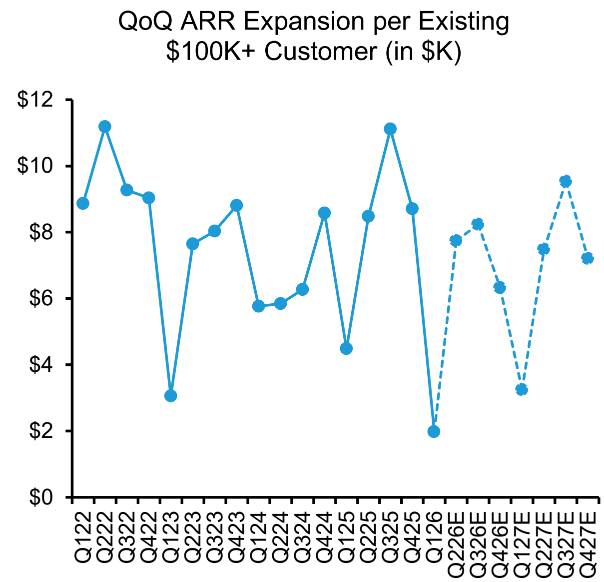
EXHIBIT 5: **QoQ incremental revenue saw a drop from both direct and channel.**



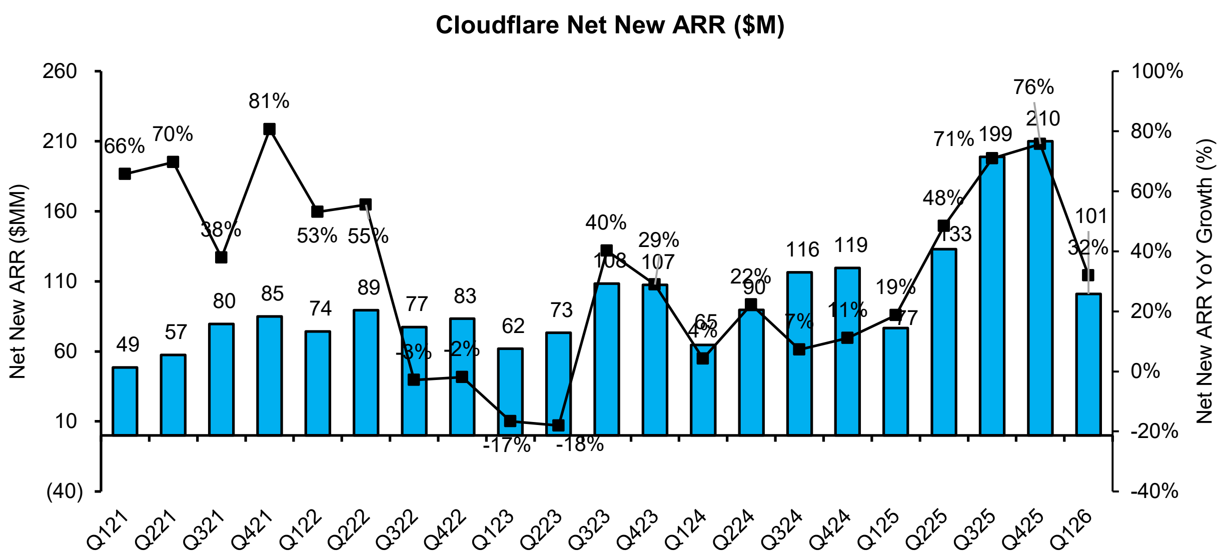
Source: Company reports, Bernstein analysis

EXHIBIT 6: **We anticipate existing customer expansion strengthens vs. the last couple year's weaker performance, returning to more "normal" levels into 2026-2027.**



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 7: **Cloudflare's net new ARR additions stronger than -1 year supported continued YoY growth acceleration.**



Source: Company reports, Bernstein analysis

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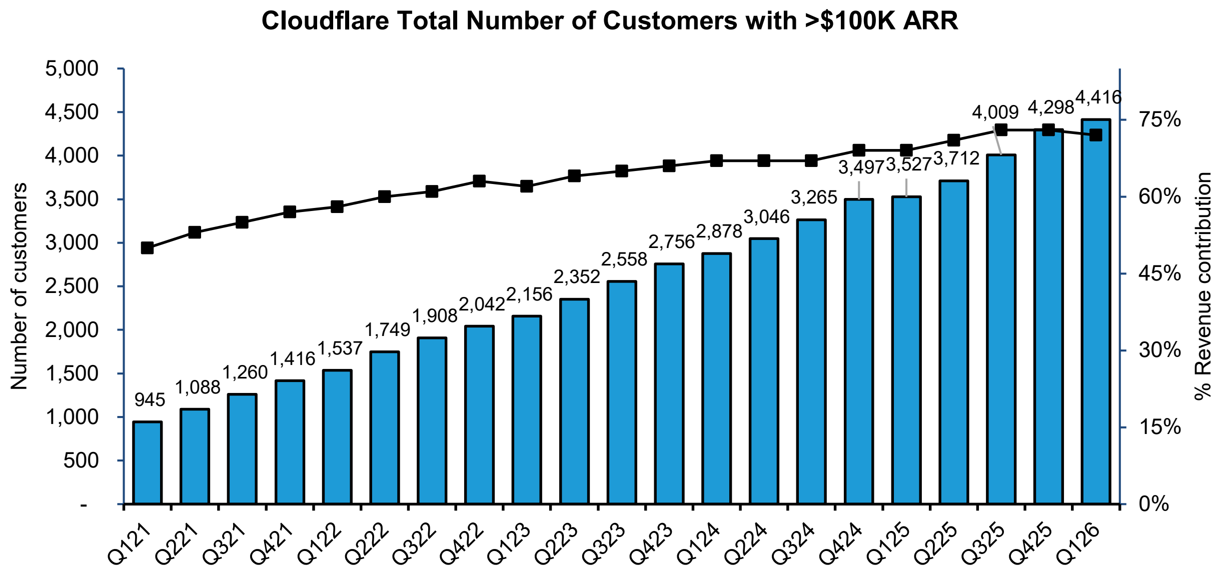
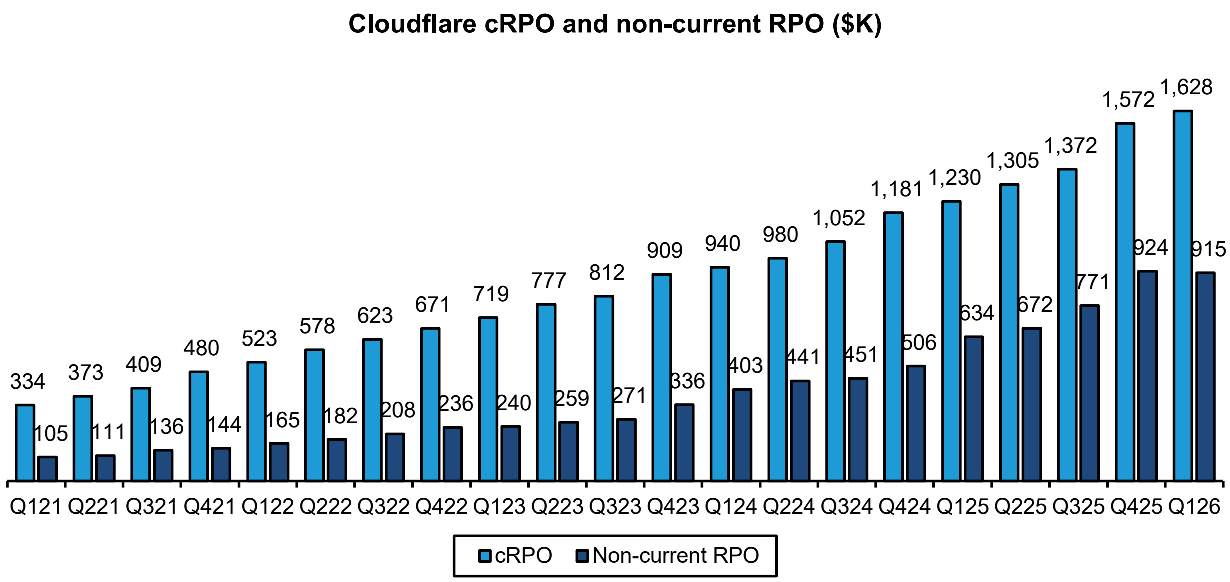
EXHIBIT 8: **Cloudflare $100k+ customer additions continued to increase in Q1.**



Source: Company reports, Bernstein analysis

EXHIBIT 9: **RPO has seen the biggest increase from the increasing large deals**



Source: Company reports, Bernstein analysis

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EXHIBIT 10: **Cloudflare results vs. estimates**

	Reported ('000)			FQ1 2026 Estimates			
	Q125	Q126	yoy	Cons	vs. Actual	Bernstein	vs. Actual
[Non-GAAP]							
COGS	109,817	174,053	58%	154,880	-11%	164,834	-5%
Gross Profit	369,270	465,702	26%	467,844	0%	486,321	4%
S&M	183,418	227,526	24%	231,363	2%	222,549	-2%
R&D	76,820	101,471	32%	98,951	-2%	110,922	9%
G&A	53,031	63,608	20%	64,814	2%	63,549	0%
Operating Profit	56,001	73,097	31%	72,716	-1%	89,301	22%
Net Loss	58,415	94,016	61%	87,362	-7%	105,070	12%
EPS	**0.16**	**0.25**	**55%**	**0.23**	**-7%**	**0.28**	**12%**
[GAAP]							
Revenue	479,087	639,755	34%	622,724	-3%	651,155	2%
COGS	115,576	184,158	59%	160,980	-13%	177,373	-4%
Gross Profit	363,511	455,597	25%	461,744	1%	473,782	4%
S&M	214,011	271,600	27%	269,401	-1%	260,694	-4%
R&D	115,089	150,972	31%	146,620	-3%	165,772	10%
G&A	87,658	95,019	8%	110,939	17%	110,681	
Operating Profit	(53,247)	(61,994)	16%	(65,215)	-5%	(63,365)	-2%
Other Income (expense)	16,488	40,593	146%	32,877	-19%	39,594	-2%
EBT	(36,759)	(21,401)	-42%	(32,338)	-51%	(23,771)	-11%
Tax provisions	1,695	1,526	-10%	2,228	46%	(4,754)	-412%
Net Income	(38,454)	(22,927)	-40%	(34,567)	-51%	(19,017)	17%
EPS	**(0.11)**	**(0.07)**	**-42%**	**(0.09)**	**-33%**	**(0.05)**	**17%**

	Reported			FQ1 2026 Estimates			
	Q125	Q126	yoy	Cons	vs. Actual	Bernstein	vs. Actual
Net retention rate	111%	118%	6%	117%	-1%	123%	4%
Free cash flow	52,867	944,413	1686%	78,246	-92%	411,059	-56%

Source: Company reports, Bloomberg, Bernstein estimates and analysis

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APPENDIX - FINANCIAL FORECASTS

EXHIBIT 11: **Cloudflare Financial Summary**

Cloudflare In thousands Income Statement	FY2022	FY2023	FY2024	FY2025	Q126	Q226E	Q326E	Q426E	FY2026E	FY2027E	FY2028E
Total Revenue	975,241	1,296,745	1,669,626	2,167,937	639,755	688,490	737,331	782,879	2,848,455	3,607,522	4,519,004
Cost of Revenue (Non-GAAP)	212,396	280,943	356,021	524,748	174,053	188,689	202,812	216,123	781,677	992,992	1,226,829
Gross Profit (Non-GAAP)	762,845	1,015,802	1,313,605	1,643,189	465,702	499,801	534,519	566,756	2,066,778	2,614,530	3,292,176
S&M (Non-GAAP)	410,080	520,106	633,365	781,143	227,526	217,238	206,346	218,613	869,724	1,010,610	1,184,915
R&D (Non-GAAP)	182,344	218,069	269,438	337,867	101,471	119,234	115,614	128,782	465,101	630,923	840,326
G&A (Non-GAAP)	134,742	155,610	180,691	220,328	63,608	66,388	69,623	73,924	273,543	320,394	369,714
Total Operating Expenses (Non-GAAP)	727,166	893,785	1,083,494	1,339,338	392,605	402,861	391,583	421,319	1,608,368	1,961,927	2,394,955
Operating Income (Non-GAAP)	35,679	122,017	230,111	303,851	73,097	96,940	142,936	145,437	458,410	652,603	897,221
Margin %	4%	9%	14%	14%	11%	14%	19%	19%	16%	18%	20%
Other income (loss), net	15,129	62,442	87,849	121,569	43,019	40,642	41,456	42,459	167,576	182,596	211,834
[Non-GAAP] Earnings before taxes	**50,808**	**184,459**	**317,960**	**425,420**	**116,116**	**137,583**	**184,392**	**187,896**	**625,986**	**835,200**	**1,109,055**
Provision for income taxes	6,370	14,785	48,947	82,538	22,100	27,517	36,878	37,579	124,074	167,040	**221,811**
Net income (loss)	44,438	169,674	269,013	342,882	94,016	110,066	147,514	150,316	501,912	668,160	**887,244**
Noncontrolling Interest											
Net income attributable to common shareholders	**44,438**	**169,674**	**269,013**	**342,882**	**94,016**	**110,066**	**147,514**	**150,316**	**501,912**	**668,160**	**887,244**
Earnings (loss) per share - Basic	0.14	0.51	0.79	0.98	0.27	0.31	0.41	0.42	1.41	1.84	2.40
Earnings (loss) per share - Diluted	0.13	0.49	0.75	0.92	0.25	0.29	0.39	0.39	1.33	1.73	2.25
Balance Sheet											
Cash and cash equivalents	204,178	86,864	147,691	943,536	932,226	452,334	471,832	495,995	495,995	752,285	784,855
Short-term investments	1,445,759	1,586,880	1,708,228	3,157,715	3,231,652	3,794,657	3,877,529	3,982,156	3,982,156	4,341,706	5,281,441
Receivables	148,544	248,268	316,753	382,488	379,586	408,555	448,810	510,573	510,573	697,796	873,741
Other current assets	89,403	61,065	96,325	161,098	172,192	233,762	247,278	350,131	350,131	327,937	395,009
Total current assets	1,887,884	1,983,077	2,268,997	4,644,837	4,715,656	4,889,307	5,045,449	5,338,855	5,338,855	6,119,723	7,335,046
Total PPE	286,600	322,813	467,420	618,691	631,082	659,345	715,800	765,087	765,087	949,434	1,122,613
Other assets	413,424	453,877	564,745	772,728	817,239	816,914	815,655	827,940	827,940	839,235	844,935
Total assets	**2,587,908**	**2,759,767**	**3,301,162**	**6,036,256**	**6,163,977**	**6,365,566**	**6,576,904**	**6,931,883**	**6,931,883**	**7,908,392**	**9,302,593**
Accounts payable	35,607	53,727	105,807	84,115	58,843	72,573	83,770	84,570	84,570	105,917	130,688
Other current liabilities	362,263	513,357	687,847	2,266,448	2,351,828	2,397,269	2,419,068	2,582,736	2,582,736	2,710,099	2,980,566
Total current liabilities	**397,870**	**567,084**	**793,654**	**2,350,563**	**2,410,671**	**2,469,842**	**2,502,838**	**2,667,306**	**2,667,306**	**2,816,016**	**3,111,254**
Deferred revenue, non-current	11,732	17,244	22,095	41,088	39,874	42,136	44,240	52,296	52,296	55,901	66,781
Other liabilities, non-current	1,554,342	1,412,392	1,439,212	2,185,482	2,186,724	2,189,152	2,191,581	2,194,013	2,194,013	2,203,757	2,213,529
Total non-current liabilites	1,566,074	1,429,636	1,461,307	2,226,570	2,226,598	2,231,287	2,235,821	2,246,309	2,246,309	2,259,658	2,280,310
Total Liabilities	1,963,944	1,996,720	2,254,961	4,577,133	4,637,269	4,701,129	4,738,659	4,913,615	4,913,615	5,075,673	5,391,564
Redeemable Preferred Stock	-	-	-	-	-	-	-	-	-	-	-
Total Equity	**623,964**	**763,047**	**1,046,201**	**1,459,123**	**1,526,708**	**1,664,437**	**1,838,244**	**2,018,267**	**2,018,267**	**2,832,718**	**3,911,029**
Total Liabilities and Equity	**2,587,908**	**2,759,767**	**3,301,162**	**6,036,256**	**6,163,977**	**6,365,566**	**6,576,904**	**6,931,883**	**6,931,883**	**7,908,392**	**9,302,593**
Cash Flow											
Cash used for operating actitivites	123,595	254,406	380,429	603,114	158,330	155,883	206,307	229,495	750,015	1,037,715	1,433,098
Cash used for investing actitivites	(235,696)	(186,201)	(330,224)	(1,806,700)	(158,806)	(642,884)	(193,255)	(212,460)	(1,207,405)	(810,396)	(1,436,702)
Cash used for financing actitivites	6,347	(192,185)	12,785	2,003,729	(9,468)	7,109	6,446	7,128	11,215	28,970	36,174
Increase (decrease) in cash, cash equivalents, and restricted cash	(105,754)	(123,980)	62,990	800,143	(9,944)	(479,892)	19,498	24,163	(446,175)	256,290	32,570
cash, cash equivalents and restricted cash at beginning of period	320,958	215,204	91,224	154,214	954,357	944,413	464,521	484,019	954,357	508,182	764,472
Cash, cash equivalents and restricted cash at end of period	215,204	91,224	154,214	954,357	944,413	464,521	484,019	508,182	508,182	764,472	797,042
Cash flow from operations	123,595	254,406	380,429	603,114	158,330	155,883	206,307	229,495	750,015	1,037,715	1,433,098
FCF	(39,769)	119,464	166,915	260,562	84,074	76,004	95,924	121,663	377,664	586,869	936,132

Source: Company reports, Bernstein estimates and analysis

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BERNSTEIN TICKER TABLE

			7 May 2026		TTM		Adjusted EPS			Adjusted P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
NET (Cloudflare)	M	USD	256.79	**136.00**	80.7%	USD	0.92	**1.33**	**1.73**	277.7	193.7	148.4
OLD				146.00				1.36	1.86			
SPX			7,337.11									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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I. REQUIRED DISCLOSURES

References to "Bernstein" or the “Firm” in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK（サンフォード・C・バーンスタイン株式会社）and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

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VALUATION METHODOLOGY

Cloudflare Inc

Our price target of $136 is an average of DCF (with 10% WACC and 3% terminal growth) and 16x P / Sales (Next 5-8Q) comp multiple. P / Sales (Next 5-8Q) comp multiple is selected in the 10%+ OpM Cloud SaaS cohort from our valuation framework analysis. We assume current Cloud SaaS multiples regression line remains consistent for 1+ year.

RISKS

Cloudflare Inc

Downside risks beyond the macroeconomic risks include: continued tie to cloud growth, execution risk in sales model transformation; less visibility in consumption and revenue predictability; building credible Act II / III products and demonstrating demand, hyperscalers moving into their core CDN and expansion security businesses, high valuation.

Upside risks include AI driving demand for their edge PaaS, and success selling a broader cybersecurity platform either of both of which exceed revenue expectations.

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RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

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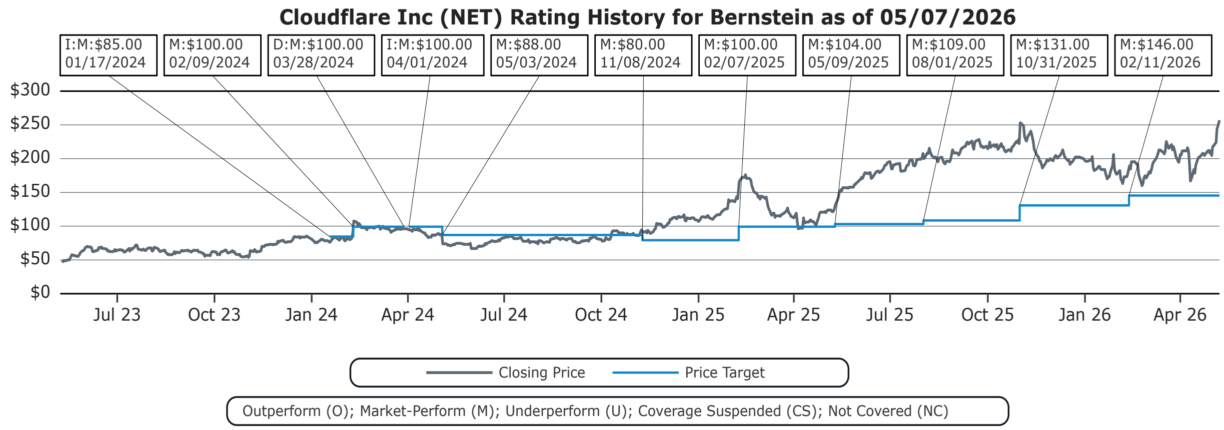

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